

CSIS JAPAN CHAIR

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● Japan Daily Brief

Monday, August 31, 2026

RE: Record FY27 budget requests · Yen breaks ¥160 · JGB yields 29-year high · DPRK condemns drills · Opposition merger collapses

NIKKEI 225
66,311.93
▲ +0.69%
as of Aug 31

USD/JPY
159.82
▲ +0.43%
as of Aug 31

EUR/JPY
185.38
▼ -0.16%

BRENT
\$88.69
▲ +0.97%

10Y JGB
1.50%
yield

JAPAN 5Y CDS
20 bps
— flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 Japan's ministries submitted a record \$895 billion in FY2027 budget requests, with the Defense Ministry alone seeking a record ¥8.9 trillion as PM Takaichi's buildup plan accelerates.
- 2 The yen breached ¥160 per dollar for the first time since joint intervention, with 10-year JGB yields rising to their highest level in 29 years, prompting G20 sideline talks between Japan and the US.
- 3 North Korea's KCNA formally labeled the forthcoming US-Japan-ROK Freedom Edge 2026 maritime exercises — set for September 7 near Jeju Island — a 'threat,' as Kim Jong Un dismissed Defense Minister No Kwang Chol in a military shake-up.

⚡ OVERNIGHT FLASH

ECONOMY-BOJ · NHK

Japan's 10-year bond yield hits highest in 29 years

Japan's 10-year JGB yield rose to 2.95%, the highest in 29 years, following signals from the Jackson Hole symposium. The surge raises debt-servicing costs against the backdrop of record FY2027 budget requests.

STAT OF THE DAY

\$895B

Record FY2027 Japan government budget requests

All ministries combined submitted \$895 billion in FY2027 budget requests, with the Defense Ministry's ¥8.9 trillion share alone setting a new record as the Takaichi administration pursues its defense buildup.

Source: Japan's FY2027 budget requests to hit record \$895bn — Nikkei Asia

REGIONAL PRESSURE WATCH

Normal — 15 items

PM Watch: No confirmed PM appearance today · 3 day(s) since last confirmed appearance

CHINA
China's Foreign Ministry spokesperson demanded Japan 'severely punish' the SDF officer who intruded into the Chinese embassy compound following his dismissal, with both Global Times and Xinhua carrying the demand — extending Beijing's pressure posture toward Tokyo. No new Senkaku CCG intrusion was reported today; the sustained diplomatic standoff following PM Takaichi's November Taiwan remarks and China's formal designation of Yasukuni as a 'war criminals shrine' remain the baseline.

NORTH KOREA
North Korea's KCNA officially labeled Freedom Edge 2026 a 'threat' and Kim Jong Un dismissed Defense Minister No Kwang Chol in a military reshuffle days before the September 7 exercise start near Jeju Island; separately, an expert flagged that falsified data could trigger Japan's J-Alert emergency warning system, raising alert-system vulnerability concerns in the drill window.

RUSSIA
No new acute Russia-Japan territorial or military incident reported today; the sustained diplomatic standoff over Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed island remain the baseline.

Senkaku / ECS: No new CCG intrusion or Senkaku incident reported today; the near-daily CCG contiguous-zone presence established since 2016 and the elevated patrol-day baseline remain in effect.

“severely punish”
China Foreign Ministry spokesperson · China urges Japan to severely punish perpetrator after dismissal of SDF officer over Chinese embassy intrusion: FM spokesperson — Global Times

Bottom line: The DPRK's formal labeling of Freedom Edge 2026 as a 'threat' and Kim's pre-drill dismissal of his defense minister bring the September 7 exercise start into sharp focus as the primary near-term provocation watch date; separately, China's embassy-intrusion demands keep bilateral diplomatic pressure on Tokyo elevated.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
Nikkei	62%	32%	—
Asahi	53%	33%	—
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 42d ago	41%	44%	—

Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 46d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—

Discourse: Approval ratings diverge sharply across pollsters — from 41% (Mainichi) to 62% (Nikkei) — against a backdrop of rising food prices, with 71% of respondents in a Kyodo poll expressing worry about fiscal health following the food tax cut, and a separate Asahi poll flagging erosion among voters in their 30s.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · MONDAY, AUGUST 31, 2026

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY

METI submits unprecedented ~\$49 billion budget request; mandates third-party inspection for mobile batteries

METI submitted an unprecedented approximately \$49 billion FY2027 budget request. Separately, METI moved to mandate third-party safety inspections for mobile batteries under tightened regulations.

→ [Google News](#) ↗

内閣官房長官 · CHIEF CABINET SECRETARY · *Minoru Kihara, Chief Cabinet Secretary*

Chief Cabinet Secretary holds morning press conference (August 31, 2026)

The Chief Cabinet Secretary held the regular morning press briefing on August 31; the government's position on the nuclear waste site survey request and other domestic matters was addressed.

→ [gov-online.go.jp](#) ↗

内閣 · GOVERNMENT / CABINET

Government formally requests nuclear waste site survey acceptance from eastern city

The Japanese government formally asked an unspecified eastern city to accept a geological survey for a high-level nuclear waste disposal site, a politically sensitive step in Japan's long-stalled nuclear waste siting process.

→ [Google News](#) ↗

UPCOMING

SEP **Japan residential road speed limit drops to 30 kph**

- 1 A new national measure reduces residential road speed limits from 60 kph to 30 kph, affecting approximately 70% of ordinary roads nationwide, effective September 1.
-
- SEP 7 **Freedom Edge 2026 US-Japan-ROK trilateral exercises begin near Jeju Island**
The trilateral maritime exercises begin September 7; North Korea's KCNA has labeled them a 'threat' and Kim Jong Un dismissed Defense Minister No Kwang Chol days before the start, raising the risk of a DPRK provocation during the drill window.
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- SEP 1 **Prices of 4,923 food and beverage items rise in Japan**
Effective September, prices on 4,923 food and beverage items increase, adding to the domestic price-pressure environment that has weighed on cabinet approval in multiple polls.
-
- SEP 7 **G20 finance leaders meeting — Japan-US bilateral talks expected**
NHK reported Japan-US bilateral talks are expected on the sidelines of the G20 finance ministers meeting, with yen movements and BOJ policy on the agenda following Treasury Secretary Bessent's public comments on the yen.
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- MAR 1 **Japan to introduce OTC-equivalent prescription drug extra charges**
Japan plans to implement additional fees for OTC-equivalent prescription drugs starting March next year as part of healthcare cost reforms; OTC-like drugs will be exempted from a consumption tax levy.
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US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel **50%** SECTION 232

Aluminum **50%** SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired July 24, 2026; Section 301 forced-labor tariff entered into force July 24, 2026

NEW AGREEMENTS / PLEDGES

Bessent backs BOJ Governor Ueda ahead of G20 talks; signals acceptance of rate hikes

US Treasury, Bank of Japan — Treasury Secretary Bessent publicly stated he expects the BOJ to 'do the right thing' and characterized yen moves as 'pretty contained,' signaling US acceptance of further BOJ rate normalization ahead of bilateral talks at the G20 finance ministers meeting.

WIRE

MACRO · THE JAPAN TIMES

Yen may slide to ¥164 per dollar as intervention gains erode

After the yen broke ¥160 per dollar, one bank projected a further slide to ¥164, a level that would erase the gains from the last joint intervention. Japan's July industrial output rose only 0.1% month-on-month, providing little fundamental support for the currency.

INDO-PACIFIC

INDO-PACIFIC · THE JAPAN TIMES

Hokkaido and Osaka governors agree to develop secondary capital disaster-resilience concept

The governors of Hokkaido and Osaka met to formalize cooperation on a secondary capital system that would provide backup governmental functions if Tokyo were struck by a major disaster, reflecting the Takaichi administration's broader resilience agenda.

ALSO TODAY / THE WIRE

DEFENSE · MAINICHI

Expert warns fake data could trigger Japan's J-Alert emergency system

A security expert flagged that falsified data could activate Japan's J-Alert ballistic missile emergency warning system, raising questions about the alert system's resilience as Freedom Edge 2026 approaches.

ON THIS DAY

AUGUST 31, 1998

North Korea's Taepodong-1 ballistic missile flew over Japan into the Pacific — the first DPRK missile overflight of Japanese territory — spurring Japan-US missile-defense cooperation.

Twenty-eight years later, KCNA's labeling of US-Japan-ROK Freedom Edge 2026 as a 'threat' and Kim Jong Un's pre-drill military reshuffle continue the pattern of North Korean pressure on the alliance that the 1998 overflight first brought into sharp focus.